MTN Nigeria Financial Performance Analysis (2022–2024)

1. Project Overview

Background

This project analyses the financial performance of MTN Nigeria Communications Plc over the three financial years ended 31 December 2022, 2023 and 2024. It uses published financial statements to examine revenue growth, operating performance, profitability and the effect of finance costs and foreign exchange losses on reported earnings.

Project Objective

The objective is to evaluate how MTN Nigeria's revenue and profitability changed over the period, calculate key financial ratios, identify significant trends, and communicate findings through an Excel dashboard.

Tools Used

- Microsoft Excel for financial data entry, calculations, ratio analysis and visualization.
- Microsoft Word for documenting the methodology, findings and recommendations.
- Published audited financial statements as the primary data source.

Key Business Questions

1. How did MTN Nigeria's revenue change between 2022 and 2024?
2. Did revenue growth translate into improved profitability?
3. How did operating and net profit margins change?
4. What role might finance costs and foreign exchange losses have played in the reported results?
5. What further information would help explain the company's financial performance?

2. Data Sources and Methodology

2.1 Data Sources

This analysis uses published audited financial statements of MTN Nigeria Communications Plc for the financial years ended 31 December 2022, 2023, and 2024. The figures were extracted from the company’s financial statements and entered into Microsoft Excel for analysis.

The analysis focuses on the Group’s financial performance, using figures reported in Nigerian naira millions (₦ million). The main financial items examined include revenue, operating profit,

finance income, finance costs, foreign exchange losses, profit or loss before tax, taxation, and profit or loss for the year.

2.2 Data Preparation

The financial figures were organized in Excel by financial year to make comparison easier. The data was checked for consistency, and income and expense figures were entered using positive and negative signs as appropriate. Expenses and losses are generally represented as negative values, while income and profits are represented as positive values.

Calculated figures were checked against the reported financial statements where the relevant figures were available. Ratios and percentage changes were calculated using Excel formulas.

2.3 Analytical Methods

The following methods were used:

- **Year-on-year comparison:** to compare financial performance across 2022, 2023, and 2024.
- **Revenue growth analysis:** to measure changes in revenue between financial years.
- **Profitability analysis:** to examine operating profit, profit or loss for the year, and net profit margin.
- **Margin analysis:** to assess operating profit as a percentage of revenue.
- **Finance cost and foreign exchange analysis:** to examine the relationship between these items and reported earnings.
- **Visualization:** to present financial trends using Excel charts and a dashboard.

2.4 Important Accounting Considerations

The analysis uses figures reported for the Group and keeps the unit of measurement consistent at ₦ million. Care was taken to distinguish between reported figures and values calculated in Excel.

Foreign exchange losses require particular care when comparing the three years. In 2022, the foreign exchange loss of ₦56,221 million is included within the reported finance costs. In 2023 and 2024, foreign exchange losses are presented separately from finance costs in the figures used for this analysis. Therefore, the 2022 foreign exchange loss was not deducted a second time when calculating profit before tax.

The analysis is intended to identify financial trends and possible factors associated with changes in profitability. It does not, by itself, establish that any single factor caused the company's financial performance.

3. Financial Analysis and Visualizations

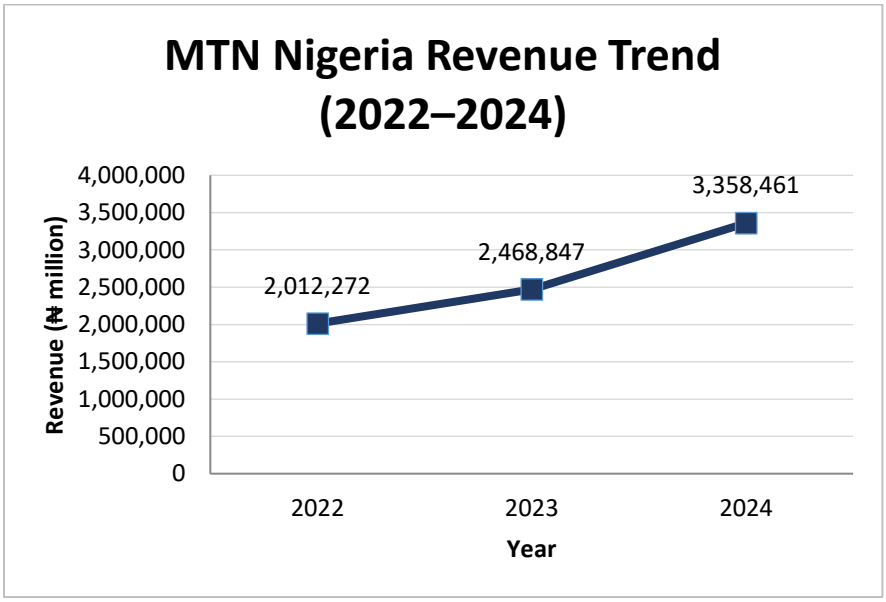
3.1 Revenue Performance

MTN Nigeria's revenue increased from ₦2,012,272 million in 2022 to ₦2,468,847 million in 2023 and ₦3,358,461 million in 2024. This indicates that the company generated substantially more revenue over the three-year period.

Revenue increased by approximately 22.7% between 2022 and 2023 and by approximately 36.0% between 2023 and 2024. Overall, revenue grew by approximately 66.9% between 2022 and 2024.

The increase in revenue indicates strong growth in the company's reported income. However, revenue growth alone does not necessarily mean that the company became more profitable. Operating expenses, finance costs, foreign exchange losses, and taxation must also be considered.

Figure 1: MTN Nigeria Revenue Trend (2022–2024)



3.2 Profitability Performance

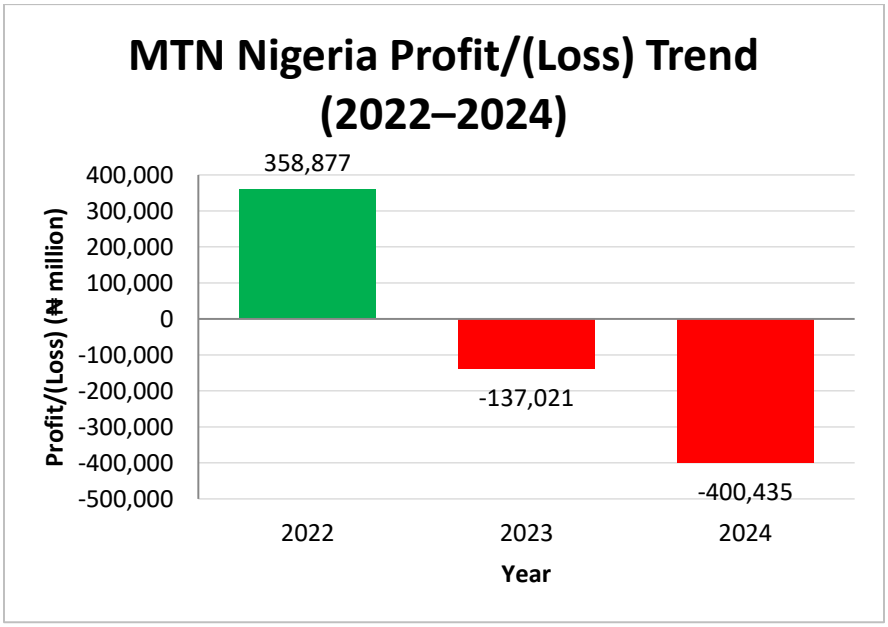
MTN Nigeria reported a profit for the year of ₦358,877 million in 2022. However, the company recorded a loss for the year of ₦137,021 million in 2023 and a larger loss of ₦400,435 million in 2024, based on the figures used in this analysis.

The change from profit in 2022 to losses in 2023 and 2024 indicates a significant deterioration in the company's reported bottom-line performance. Although revenue increased during the period, the company did not maintain its 2022 profitability.

The 2024 loss was approximately ₦263,414 million greater than the 2023 loss. This shows that the company's financial performance weakened further in 2024.

These results demonstrate why financial analysts should assess both revenue growth and profitability. A company can generate more revenue while still recording a loss if its expenses and other financial charges outweigh the income it earns.

Figure 2: MTN Nigeria Profit/ (Loss) Trend (2022–2024)



3.3 Revenue Growth versus Profitability

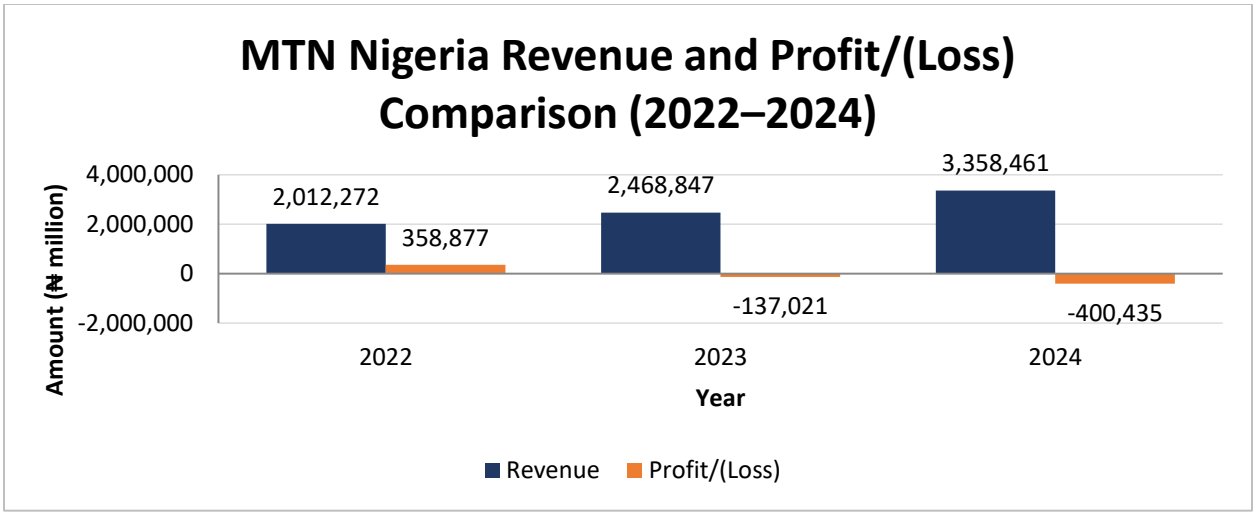
The comparison of revenue and profit or loss reveals an important trend in MTN Nigeria's financial performance. Revenue increased from ₦2,012,272 million in 2022 to ₦3,358,461 million in 2024. However, the company moved from reporting a profit in 2022 to recording losses in both 2023 and 2024.

This suggests that the increase in revenue did not translate into improved overall profitability during the period. Although revenue grew significantly, other items affecting earnings—including operating expenses, finance costs, and foreign exchange losses—also need to be considered.

The comparison also highlights the difference between operating performance and the final result for the year. Operating profit remained relatively stable, increasing from ₦733,298 million in 2022 to ₦778,244 million in 2024, while the company's reported result changed from profit to loss.

For a financial analyst, this difference is important. It shows why revenue and operating profit should be assessed alongside finance costs, foreign exchange movements, taxation, and profit or loss for the year.

Figure 3: MTN Nigeria Revenue and Profit/ (Loss) Comparison (2022–2024)



4. Key Findings and Recommendations

4.1 Key Findings

Based on the analysis of MTN Nigeria's financial performance from 2022 to 2024, the following findings were identified:

1. Strong revenue growth

Revenue increased from ₦2,012,272 million in 2022 to ₦3,358,461 million in 2024. This represents growth of approximately 66.9% over the two-year interval, indicating a substantial increase in reported revenue.

2. Deterioration in overall profitability

MTN Nigeria moved from a reported profit of ₦358,877 million in 2022 to losses in 2023 and 2024. The loss increased from ₦137,021 million in 2023 to ₦400,435 million in 2024, based on the figures used in this analysis.

3. Operating profit increased slightly

Operating profit rose from ₦733,298 million in 2022 to ₦778,244 million in 2024. However, operating profit margin declined from approximately 36.44% to 23.17%. This means operating profit represented a smaller proportion of revenue in 2024 than it did in 2022.

4. Finance costs and foreign exchange losses require attention

The analysis shows substantial finance costs and foreign exchange losses in 2023 and 2024. These items are important areas for further investigation because they can significantly affect profit before tax. A more detailed review of the financial statement notes would be needed to assess their individual drivers.

5. Revenue growth did not guarantee higher earnings

The company generated more revenue in 2024 than in 2022, but it reported a loss in 2024. This demonstrates the importance of assessing operating margins, finance costs, foreign exchange movements, and other expenses alongside revenue.

4.2 Recommendations

Based on these findings, the following actions are recommended for further financial investigation:

1. Investigate the drivers of foreign exchange losses. Review the annual report notes to understand the sources of foreign currency exposure and how exchange-rate movements affected the company.

2. Examine the composition of finance costs. Review borrowing costs, lease interest, and other finance-related charges to understand their contribution to the reported losses.

3. Monitor operating profit margins. Compare operating expenses with revenue across financial years to identify areas where costs may be growing faster than income.

4. Review cash flow and debt information. Examine operating cash flow, borrowings, and liquidity measures to gain a more complete picture of the company's financial position and ability to meet obligations.

5. Extend the analysis. Include additional financial ratios and compare MTN Nigeria with another telecommunications company to provide a broader view of financial performance.

These recommendations identify areas for further analysis. They should not be interpreted as proof of the causes of MTN Nigeria's reported losses without additional supporting evidence.

5. Limitations and Conclusion

5.1 Limitations of the Analysis

This analysis has several limitations.

First, it covers only three financial years, from 2022 to 2024. A longer period would provide a broader view of MTN Nigeria's financial performance.

Second, the analysis relies on published financial statements and Excel calculations. It does not include internal company records, management forecasts, or detailed operational data.

Third, foreign exchange losses and finance costs can be affected by several factors. Although these items are examined in this report, further investigation of the financial statement notes would be required to understand their underlying drivers.

Finally, the analysis focuses mainly on selected income statement figures. Additional information about cash flow, debt, assets, liabilities, and liquidity would be needed for a more comprehensive assessment of the company's financial health.

5.2 Conclusion

This project examined MTN Nigeria Communications Plc's financial performance between 2022 and 2024 using published financial statements and Microsoft Excel.

The analysis found that revenue increased substantially over the period, while overall profitability deteriorated from a profit in 2022 to losses in 2023 and 2024. Operating profit increased slightly between 2022 and 2024, but the operating profit margin declined. These results demonstrate that revenue growth does not necessarily translate into stronger bottom-line performance.

The project also highlights the importance of investigating finance costs and foreign exchange losses when assessing a company's earnings. Further analysis of cash flow, debt, operating expenses, and financial statement notes would help provide a more complete understanding of the company's performance.

Overall, this project demonstrates practical skills in financial data collection, Excel calculations, financial ratio analysis, trend analysis, data visualization, and business reporting.

Metric	2022	2023	2024
Revenue growth	N/A	22.70%	36.04%
Operating profit margin	36.44%	31.34%	23.17%
Finance cost as %of revenue	10.59%	9.60%	12.85%
Foreign exchange loss as % of revenue	2.79%	29.99%	27.55%
Net profit margin	17.83%	-5.55%	-11.92%
Tax benefit as % of loss before tax	N/A	22.97%	27.24%

6. References

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